

ETHENA LABS

30-Day Full Post Library

All 30 Posts Written in Full — Bible-Compliant

20 Posts

Guy Young Personal
Profile

10 Posts

Ethena Labs Company
Page

5 Objection

Pre-Emption Posts Fully
Written

Part 20

Regulatory Compliance
Applied

Legend:

■ Gold accent = Guy Young Personal Profile

■ Teal accent = Ethena Labs Company Page

WEEK 1

Establish the Mechanism. Set the Authority.

Strategic objective: The first week anchors Guy Young as the definitive voice on synthetic dollar mechanics. Every post establishes that USDe is not a speculation — it is a financial engineering construct with a named yield source, a live track record, and institutional validation. Objection 1 (negative funding rates) is pre-empted by Day 5 before investors arrive at a conversation with it already formed.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 1 — Mon	Guy Young (Personal)	Mechanism & Technical Depth	Belief disruption — challenging the assumption before explaining the truth

Most people think the yield from sUSDe comes from somewhere suspicious.

It doesn't.

Here is exactly where it comes from.

When a user deposits ETH or BTC into Ethena:

- We hold the asset as collateral (long position)
- We simultaneously open a short perpetual futures position of equivalent notional size

These two positions cancel each other out.

Long spot ETH + short perp ETH = zero net exposure to ETH price movement.

That is the delta-neutral structure. USDe holds its dollar value because the positions offset. If ETH drops 40%, the long spot position loses value and the short perp gains value by an equivalent amount. The net position stays flat.

Now. The question that matters:

Who pays for the short perpetual position?

Traders who want leveraged long exposure to ETH and BTC use perpetual futures to get it. They need someone willing to take the other side of that trade. To maintain their long exposure, they pay a periodic funding rate to whoever holds the short side.

Ethena holds the short side.

Ethena receives the funding rate.

That is the yield. It has a named payer: the market's persistent demand for leveraged long exposure to ETH and BTC. This is not protocol inflation. This is not a lending spread. This is not a promotional rate. It is a market structure mechanic that has existed for as long as perpetual futures markets have existed.

The mechanism has been live on Ethereum mainnet since February 2024.

USDe reached \$3.7 billion in circulating supply at peak.

Zero smart contract exploits in that period.

The full architecture is documented at ethena.fi/docs.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 7: Hook opens by naming the objection before the reader raises it — forces immediate re-evaluation. Part 9: Short declarative sentences establish authority. 'That is the yield.' — Guy's voice. Part 12: Pre-empt the Ponzi objection structurally by naming the yield payer. Part 20: Disclaimer applied. No forward-looking yield projection.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 2 — Tue	Ethena Labs (Company Page)	Proof Signal Deployment	Quantitative lead — largest number first, let data carry the opening

\$3.7 billion.

That was USDe's peak circulating supply in 2024 — making it the third-largest stablecoin by market cap at that point, behind only USDT and USDC.

It reached \$1 billion in supply within 10 days of launch. At the time, that was the fastest any stablecoin had reached \$1B in circulating supply.

Since launch in February 2024:

- Zero smart contract exploits
- Multiple independent security audits completed (Zellic, Code4rena)
- Integrated into Aave, MorphoBlue, and Pendle
- Bitcoin added as collateral in V2

— iUSDe launched as an institutional-grade access layer for TradFi entities

The delta-neutral mechanism that produces USDe has operated continuously through expansion cycles, contraction periods, and everything in between.

The documentation is at ethena.fi. The audit reports are public.

STRATEGIC NOTE (Bible Reference)

Part 10: Proof signal sequencing — largest number opens, then proof tier cascade (security, integrations, institutional product launch). Part 9 company page calibration: data-forward, no celebration language, no adjectives. Report the record. Part 5: Company page handles milestone posts — personal profile handles commentary on those milestones.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 3 — Wed	Guy Young (Personal)	Market Commentary & Insight	Observation-first — notice what others are missing, then explain why it matters

Funding rates are positive across major perpetuals venues right now.

Most people read that as a headline. Here is what it actually means for Ethena.

The funding rate on a perpetual futures contract reflects market-wide demand for leveraged long exposure. When traders are net long — when they are collectively paying to hold long perpetual positions — the rate is positive and flows from longs to shorts.

Ethena holds the short side at scale.

In the current environment — Bitcoin reclaiming previous highs, DeFi TVL growing, institutional inflows increasing — traders are adding long exposure. The demand to hold leveraged long ETH and BTC positions is high. The funding rate reflects that demand.

What this means in practice: sUSDe APY is in a favorable range right now. The historical data is on the Ethena dashboard if you want the specific numbers.

What this does not mean:

Funding rates cycle. They have gone negative before. They will go negative again. The protocol is designed for the full cycle, not just the favorable part of it. I will write specifically about what happens during negative funding rate periods in two days.

For now: the current environment is favorable. Here is the architecture that earns in it.

- Long spot collateral position (ETH / BTC)
- Short perpetual futures position of equivalent size
- Net delta: zero
- Yield: the funding rate paid by the long side

The mechanism documentation is at ethena.fi/docs.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 14: Cycle reading applied — explicitly connects current market environment to current yield context.
Part 9: Guy's analytical voice — reads the market condition, explains the mechanism, signals what's coming Friday. Creates anticipation for Day 5 objection post. Part 20: APY referenced historically only, directs to dashboard for specifics.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 4 — Thu	Ethena Labs (Company Page)	Institutional Bridge	Problem-solution — name the friction TradFi institutions face before presenting the product

Most institutional allocators who look at DeFi yield products stop at the same point.

Not at the yield.

Not at the mechanism.

At the compliance question.

'Can our fund hold an unregulated DeFi token on our balance sheet?'

For the majority of hedge funds, family offices, and registered asset managers — the answer is currently no.

iUSDe was built for that answer.

iUSDe is an institutional-grade wrapped version of USDe, designed to give TradFi entities access to the yield generated by Ethena's delta-neutral mechanism through a regulatory-compliant structure. The yield source does not change. The underlying

mechanism does not change. The wrapper enables access for institutions whose compliance frameworks would otherwise block it.

Franklin Templeton and PayPal Ventures participated in Ethena's strategic funding round. F-Prime Capital and other institutional investors joined them.

These are not investors who move capital without conducting institutional-grade due diligence.

The iUSDe product documentation is at ethena.fi. For institutional inquiries, contact information is on the site.

STRATEGIC NOTE (Bible Reference)

Part 3: Narrative Pillar 3 (Institutional Bridge) — iUSDe deployed as solution to named institutional friction.
Part 10: Tier 1 social proof (Franklin Templeton, PayPal Ventures) deployed without celebration — framed as due diligence signal. Part 9: Company page voice — factual, formal, no hype language.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 5 — Fri	Guy Young (Personal)	Objection Pre-Emption	Direct question hook — name the objection immediately and answer it completely

The question I get from every institutional allocator:

'What happens to the protocol when funding rates go negative?'

It is the right question. Here is the complete answer.

Funding rates have gone negative before. They will go negative again. This is not a theoretical risk — it is a historical certainty. The question is not whether it happens. The question is whether the architecture survives it.

Here is exactly what occurs when funding rates turn negative:

1. The yield on sUSDe compresses.

If funding rates are sufficiently negative for a sustained period, the sUSDe APY goes to zero or below. The protocol does not manufacture yield when the market structure stops providing it.

2. The dollar peg of USDe is maintained.

The delta-neutral position does not create principal loss from price movement. Long spot ETH + short perp ETH still nets to zero regardless of ETH's price direction. The peg mechanism is structurally independent of the yield mechanism.

3. The insurance fund activates.

Ethena maintains an insurance fund capitalized from a portion of positive funding rate income. During periods of negative funding rates, the insurance fund absorbs the cost difference, protecting sUSDe holders from principal loss during temporary negative rate periods.

The insurance fund is not theoretical. Its current balance and every historical draw event are published on the Ethena dashboard.

During 2022 — the most sustained bear market in recent crypto history, a period during which funding rates were consistently negative for months — the delta-neutral structure held mechanically. The peg held.

The risk is real. The architecture for managing it is operational, not theoretical.

If you are running due diligence on sUSDe or iUSDe, the insurance fund documentation is at ethena.fi/docs. The historical APY data — including periods of compressed and negative yield — is on the dashboard.

I would rather you read the documentation and decide against it with full information than invest without understanding how it works under stress.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 12: Primary objection pre-emption — the most important post of Week 1. Addresses the exact question institutional allocators ask in every first meeting. Part 9: Clinical and direct. Guy names the three mechanisms clearly. The final line ('I would rather you read the documentation...') is authentic to his voice and builds trust through transparency. Part 20: Full compliance. Historical references only.

WEEK 2

Institutional Proof. Named Partners. Trust Signals.

Strategic objective: Week 2 deploys the institutional validation architecture. The goal is to make every named partner, investor, and integration earn its weight as a proof signal. Per Part 10, proof signals must be deployed in sequence with context — a name without context is noise. Each post this week gives an institutional signal its proper context.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 8 — Mon	Guy Young (Personal)	Founder Lens	Unexpected origin — the surprising background that explains why the product exists

Before Ethena, I spent years trading derivatives at Cerberus Capital Management.

That background is not incidental to what Ethena became. It is the intellectual foundation for the entire protocol.

Here is what I learned inside those markets:

Perpetual futures funding rates are one of the most persistent yield sources in global capital markets. They exist because traders will consistently pay a premium to maintain leveraged long exposure to high-volatility assets. That premium flows from the long side to the short side on a recurring basis.

In traditional finance, that yield source was inaccessible at retail scale. You needed exchange access, derivatives infrastructure, and enough capital to make the position economics work. Institutional derivatives desks understood this. Most of the world didn't.

In crypto, the same mechanics exist — but the market is larger, the funding rates are higher, and the infrastructure to automate the position at scale now exists.

That is what Ethena is. It is the systematic, automated deployment of a derivatives strategy that institutional desks have understood for years, made accessible through a dollar-denominated instrument.

The team that built it has the same profile. Engineers and protocol developers with institutional finance backgrounds who came to DeFi not because it was trendy but because the capital efficiency opportunities here are structurally superior to what they were doing before.

The institutional logic was not added to Ethena later when the investors showed up.

It was in the design from the first conversation.

STRATEGIC NOTE (Bible Reference)

Part 24 (Founder Personal Brand): Quarterly founder origin story post — one per quarter maximum. Part 9 Pillar 5: Founder Lens narrative — Guy's TradFi derivatives background as the intellectual authority source. This post builds trust through authenticity and explains the 'why' behind the product's sophistication.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 9 — Tue	Ethena Labs (Company Page)	Proof Signal Deployment	Integration cascade — named partnerships as credibility ladder, each rung higher than the last

USDe and sUSDe are integrated into the following DeFi protocols:

Aave — the largest decentralized lending protocol by TVL. sUSDe listed as a collateral asset, enabling holders to borrow against their yield-bearing position.

MorphoBlue — next-generation lending infrastructure. sUSDe integrated as a core collateral asset across multiple morpho curated vaults.

Pendle Finance — yield tokenization protocol. sUSDe yield is tradable and tokenizable through Pendle, enabling fixed-rate yield strategies and yield speculation.

Each of these integrations required independent protocol assessment, smart contract review, and governance approval.

They are not marketing partnerships. They are technical integrations made by protocols whose treasuries depend on the assets they list.

The complete integration list, including documentation for each, is at ethena.fi.

STRATEGIC NOTE (Bible Reference)

Part 10: Proof tier deployment — DeFi protocol integrations as institutional credibility signals. The key framing is the final point: 'not marketing partnerships.' This reframes integrations as due diligence endorsements. Company page calibration: factual, no adjectives, documentation link.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
	Guy Young (Personal)	Mechanism & Technical Depth	Evolution framing — the product got harder to compete with, here is how

Day 10 — Wed			
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When we launched USDe in February 2024, ETH was the sole collateral asset.

The mechanism worked. The supply grew. Then we made a structural decision that most people under-reported.

We added Bitcoin as collateral in V2.

Here is why that matters mechanically, not just for narrative.

BTC perpetual futures markets are among the deepest and most liquid derivatives markets in the world. The open interest on BTC perps across major venues — Bybit, OKX, Deribit — is consistently in the billions. That depth means:

- The delta-neutral position can be deployed at significantly larger scale
- The funding rate yield source is larger and more diversified
- The protocol's supply ceiling is meaningfully higher

Adding BTC as collateral was not a feature launch. It was a structural expansion of the yield source.

At \$3.7 billion peak supply, we were approaching the practical limits of what ETH alone could support as delta-neutral collateral. BTC removed that ceiling.

The V2 architecture documentation is at ethena.fi/docs for anyone running technical due diligence.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 3 Pillar 1 (Mechanism): Technical depth post for Tier 3 audience (protocol treasuries, DeFi-native investors). Demonstrates that Guy thinks about scale mechanics, not just product narrative. Part 7: Evolution framing as hook type — showing growth of sophistication builds confidence in team judgment.

ETHENA LABS — COMPANY PAGE

POST Day 11 — Thu	CHANNEL Ethena Labs (Company Page)	PILLAR Institutional Bridge	HOOK TYPE Infrastructure framing — reframe exchange partners as the protocol's execution layer
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Ethena's delta-neutral positions are executed across three exchange partners:

Bybit — one of the largest derivatives exchanges globally by open interest.

OKX — institutional-grade derivatives venue with deep BTC and ETH perpetuals liquidity.

Deribit — the leading options and futures exchange for institutional crypto derivatives.

These are not sponsorship relationships.

They are operational dependencies — the execution layer on which the delta-neutral mechanism runs. The protocol's ability to deploy and maintain delta-neutral positions at scale is directly dependent on the depth and reliability of these venues.

The architecture is designed so that no single exchange holds a disproportionate share of the total position. Collateral is held in off-exchange institutional custody — not on exchange balance sheets.

This distribution is a deliberate risk architecture decision, not a commercial one.

The counterparty risk documentation, including custody architecture details, is at ethena.fi/docs.

STRATEGIC NOTE (Bible Reference)

Part 12: Pre-emptively addresses Objection 3 (counterparty risk) at the company page level before it surfaces in investor conversations. Part 10: Reframes exchange partners from 'commercial sponsors' to 'operational infrastructure' — a more credible and precise signal. Company page calibration: operational and factual.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 12 — Fri	Guy Young (Personal)	Objection Pre-Emption	Steel-man then dismantle — acknowledge the strongest version of the objection before addressing it

The second-most common question I get from institutional allocators:

'USDe holds a short perpetual position. That's a leveraged derivatives trade. Is this actually a stablecoin, or is it a leveraged bet dressed up as a dollar?'

This is a sharp question. Let me give it the precise answer it deserves.

First: what leverage actually means in derivatives.

Leverage means you have more exposure than the capital you've deployed. If you are long \$1M of BTC perps with \$100K of capital, you have 10x leverage — a 10% move in BTC moves your position by 100%. Your exposure exceeds your capital.

Now look at Ethena's position structure:

- Long \$1B of spot ETH (held as collateral)
- Short \$1B of ETH perpetual futures

Net ETH price exposure: zero.

If ETH moves 10%, the long gains 10% and the short loses 10%. They offset exactly. The combined position has zero directional exposure. This is not leverage. This is mechanical delta neutrality.

What Ethena does with perpetual futures is closer to a market-making structure than a directional trade. The short perp position exists not to speculate on ETH price direction but to cancel the long spot position and earn the funding rate paid by traders who are speculating on ETH price direction.

There is counterparty risk in this structure — the exchange counterparty risk I addressed earlier this week. There is funding rate risk — the yield compresses when market sentiment shifts.

There is no leverage risk. The position does not have directional exposure to blow up.

The mechanics are documented in full at ethena.fi/docs.

STRATEGIC NOTE (Bible Reference)

Part 12: Objection 2 (leverage misconception) addressed with intellectual precision. Part 9: Guy's voice — starts with the sharpest version of the objection ('This is a sharp question'), then dismantles it systematically. No deflection. Part 7: Steel-man hook type demonstrates intellectual confidence. Acknowledges real risks (counterparty, funding rate) while correcting the misconception.

WEEK 3

Technical Depth. Security Proof. Risk Architecture.

Strategic objective: Week 3 deploys the security and risk architecture proof signals. This is the due diligence week — the content that gets shared inside a fund's investment committee. Audit completions, insurance fund transparency, stress test data, and the counterparty risk architecture all surface this week. By end of Week 3, a thorough institutional allocator has found every answer they need without asking.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 15 — Mon	Guy Young (Personal)	Proof Signal Deployment	Transparency-forward — lead with what most protocols hide, surface what most protocols bury

Most DeFi protocols bury their audit reports in documentation footnotes.

Here is what Ethena's security review process actually looks like.

The protocol has completed multiple independent security audits:

Zellic — a leading smart contract security firm. Their audit covered the core USDe minting and redemption contracts, collateral management architecture, and the ENA token contract.

Code4rena — a competitive audit model where independent security researchers compete to find vulnerabilities. The competitive format means findings are not limited to a single auditor's perspective — it draws from a broad pool of security expertise.

Every audit finding — including the lower-severity ones — is publicly available in Ethena's documentation. Not summarized. The actual reports.

Post-launch: the protocol has processed billions in cumulative volume since February 2024. Zero smart contract exploits to date.

Security in DeFi is not guaranteed by audits alone. It is accumulated through operational history under real adversarial conditions.

Audits tell you the protocol was built carefully. Fourteen months of live operation with no exploits is the more meaningful data point.

The audit reports are at ethena.fi/docs.

STRATEGIC NOTE (Bible Reference)

Part 10: Security audit proof signals deployed with proper context. Critical framing: 'Audits tell you... Fourteen months of operation is the more meaningful data point.' This reframes operational history as the primary proof signal, with audits as the supporting layer. Part 9: Intellectually honest — doesn't oversell audits. Guy's voice.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 16 — Tue	Ethena Labs (Company Page)	Risk Architecture	Mechanism-first transparency — explain the protection before the investor asks if it exists

The Ethena Insurance Fund.

What it is, how it works, and why it exists.

The insurance fund is Ethena's primary mechanism for protecting USDe holders during periods when the delta-neutral position generates negative yield — specifically, when perpetual futures funding rates turn negative for a sustained period.

How it is funded:

A portion of the protocol's positive funding rate income is directed to the insurance fund continuously. It accumulates during favorable conditions and deploys during adverse ones.

What it covers:

When funding rates go negative, the short perpetual position generates costs rather than income. If those costs are sustained, they would otherwise pressure the sUSDe yield and, in extreme scenarios, the USDe peg. The insurance fund absorbs these costs first.

What it does not cover:

The insurance fund is not infinite. An extreme, prolonged negative funding rate environment — sustained negative rates combined with high protocol TVL — would eventually exceed the fund's capacity. This is a documented risk in the protocol's risk documentation.

What is transparent:

The insurance fund balance is published in real time on the Ethena dashboard. Every historical draw event is recorded and publicly accessible. There is no ambiguity about its size or utilization history.

The insurance fund documentation and current balance are at ethena.fi.

STRATEGIC NOTE (Bible Reference)

Part 12 (Objection 1 extension) + Part 10 (Risk Architecture proof signal): This post functions as the company page version of the insurance fund explanation. Critically, it names the limits of the fund — 'not infinite' — which is the kind of honesty that builds institutional trust. Incomplete transparency destroys trust faster than silence.

GUY YOUNG — PERSONAL PROFILE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 17 — Wed	Guy Young (Personal)	Market Commentary & Insight	Historical comparison — contextualize the present environment against past data the audience doesn't have

Three funding rate environments. What each one meant for sUSDe.

I want to give you a clear picture of how the yield has behaved across different market conditions — because most people have only seen part of the cycle.

The 2024 Bull Expansion (Q1–Q2 2024):

Bitcoin moved from \$40K to \$73K. Trader demand for leveraged long exposure was extremely high. BTC and ETH perpetual funding rates were consistently elevated across major venues. This was the environment in which sUSDe APYs reached their highest historical ranges — double-digit yields sustained for months.

The 2024 Mid-Year Compression (Q3–Q4 2024):

Markets cooled following the BTC all-time high. Open interest on perpetuals declined. Funding rates compressed. sUSDe APY declined from peak levels and settled into a more moderate range.

The 2022 Bear Market (for context):

Funding rates were negative across extended periods. The delta-neutral mechanism during this period generated compressed yields. The peg held. The protocol structure for managing this environment — the insurance fund — was designed specifically based on this historical period.

The current environment:

Early expansion. Funding rates positive. sUSDe APY in a moderate positive range. Not at 2024 peak levels, not at 2022 bear levels. Historical data on the Ethena dashboard.

This is a yield instrument whose output tracks market conditions. It is designed that way. If the yield were fixed regardless of market conditions, something would be wrong.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 14 (Trend & Market Intelligence): Cycle reading applied directly to yield context. This post does the work most protocols refuse to do: shows the full cycle, not just the favorable periods. Part 9: Guy's analytical, TradFi-informed voice — 'three environments, here is what each meant.' Builds institutional trust through completeness.

ETHENA LABS — COMPANY PAGE

POST Day 18 — Thu	CHANNEL Ethena Labs (Company Page)	PILLAR Mechanism — Cross- Chain Expansion	HOOK TYPE Progress framing — show the infrastructure getting harder to compete with
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USDe launched on Ethereum mainnet in February 2024.

Cross-chain expansion is underway.

The expansion follows a deliberate infrastructure-first sequence: Ethereum mainnet stability was established first. Protocol security and peg mechanics were proven under real conditions. Institutional product development (iUSDe) was completed. Cross-chain deployment follows.

The rationale for cross-chain expansion is architectural, not narrative.

DeFi liquidity and activity are distributed across multiple EVM networks. A synthetic dollar that exists only on one chain is structurally constrained from participating in yield opportunities, lending markets, and DeFi integrations that exist on other chains.

Cross-chain deployment enables sUSDe yield to reach DeFi protocols and institutional allocators operating across the broader EVM ecosystem.

Updates on specific network deployments are published on the Ethena blog at ethena.fi.

STRATEGIC NOTE (Bible Reference)

Part 5 (Mechanism pillar for company page): Infrastructure expansion signal demonstrates protocol is building for longevity, not short-term. Key framing: 'infrastructure-first sequence' — shows disciplined build order which is an institutional credibility signal.

GUY YOUNG — PERSONAL PROFILE

POST Day 19 — Fri	CHANNEL Guy Young (Personal)	PILLAR Objection Pre-Emption	HOOK TYPE Specific architecture — name the counterparty risk precisely, then show the precise architecture that manages it
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Counterparty risk in Ethena. The complete picture.

The delta-neutral positions that back USDe are held on derivatives exchanges — Bybit, OKX, and Deribit. Every serious institutional investor who looks at Ethena asks the same question:

'What happens if one of those exchanges fails?'

The question is correct. Exchange failure is a real risk in crypto. FTX made that permanent knowledge.

Here is the architecture.

First: Collateral custody.

The collateral that backs USDe positions is not held on the exchanges themselves. It is held in off-exchange institutional custody through specialized custodians. The exchange receives collateral in the form that enables position execution — not full balance sheet custody.

This means that exchange failure does not result in loss of the collateral backing USDe. The collateral is not on the exchange balance sheet.

Second: Position distribution.

The protocol's delta-neutral positions are distributed across multiple exchange partners simultaneously. No single exchange holds the entire position. In a scenario where one exchange becomes inoperable, the positions on remaining exchanges continue to function.

Third: Liquidation risk.

Because USDe holders interact with the protocol rather than the exchanges directly, the risk of position liquidation exists at the protocol level, not at the user level. The delta-neutral structure is maintained by the protocol, which manages collateral ratios across all positions.

What remains:

If multiple major derivatives exchanges failed simultaneously, the protocol would face significant operational disruption. The architecture reduces concentration risk — it does not eliminate systemic risk from a correlated failure of the global derivatives infrastructure.

This is documented in full at ethena.fi/docs. It is not in the footnotes.

STRATEGIC NOTE (Bible Reference)

Part 12: Objection 3 (counterparty risk) addressed with the highest level of specificity. Critical: explicitly names the FTX context — institutional investors will think of it whether you mention it or not. Naming it

demonstrates awareness and builds more trust than avoiding it. The final paragraph names the residual risk honestly — incomplete answers destroy trust more than full ones.

WEEK 4

Institutional Use Cases. iUSDe. TradFi Bridge Completion.

Strategic objective: Week 4 closes the first month by completing the institutional narrative. iUSDe gets its full depth treatment. The yield-from-market-structure argument is made against fixed income alternatives directly. The newsletter launches. The month closes with a human post from Guy that builds anticipation for Month 2 without overpromising.

GUY YOUNG — PERSONAL PROFILE

POST Day 22 — Mon	CHANNEL Guy Young (Personal)	PILLAR Institutional Bridge — iUSDe Deep Dive	HOOK TYPE Specific use case — name the exact institutional profile and the exact friction iUSDe removes
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A hedge fund allocator asked me last year:

'The yield on sUSDe is genuinely interesting. But our compliance framework won't let us hold an unregulated DeFi token. Can you solve that?'

iUSDe was built for that question.

Let me be precise about what iUSDe is and what it is not.

What iUSDe is:

An institutional-grade wrapped version of USDe, structured to be accessible for TradFi entities whose compliance frameworks require regulatory-compliant instruments. The wrapper enables exposure to the yield generated by Ethena's delta-neutral mechanism through a structure that institutional custodians, fund administrators, and compliance teams can accommodate.

What iUSDe is not:

It is not a separate product with a different yield source. It is not a simplified or reduced version of the mechanism. The underlying delta-neutral structure is identical. The collateral architecture is identical. The funding rate yield source is identical.

The compliance wrapper changes. The protocol does not.

Who iUSDe is built for:

- Hedge funds and credit funds that want yield above money market rates but require regulatory-compliant instruments
- Family offices with institutional mandates that cannot hold unregistered crypto assets
- Asset managers evaluating yield alternatives to short-duration fixed income

— Corporate treasuries seeking yield on dollar-denominated reserves

Franklin Templeton, PayPal Ventures, and F-Prime Capital participated in our strategic round. Each of them did full institutional due diligence before committing capital.

For institutional inquiries on iUSDe, the contact and product documentation are at ethena.fi.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 3 (Narrative Pillar 3) + Part 36 (Talent/Institutional): The dialogue opening is a Guy Young voice signature — direct, conversational, opens with a specific real-world scenario. iUSDe explained with maximum precision: what it is, what it isn't, exactly who it serves. Four specific institutional profiles named — each is a separately addressable audience.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 23 — Tue	Ethena Labs (Company Page)	Proof Signal — Institutional Investors	Credibility-by-association — let the names provide their own signal without overselling

Ethena's strategic funding round included:

Franklin Templeton — one of the largest global asset managers by AUM. Among the first major TradFi institutions to launch a tokenized fund product.

PayPal Ventures — the venture arm of PayPal, with a specific focus on financial infrastructure and payments technology.

F-Prime Capital — the venture arm of Fidelity Investments.

Along with participation from Dragonfly Capital, Arthur Hayes, Deribit, OKX Ventures, Bybit, and Gemini in earlier rounds.

These organizations conduct institutional-grade due diligence before committing capital. Their participation means Ethena's architecture, legal structure, risk framework, and team were reviewed by teams that do this professionally.

The iUSDe product was specifically designed to enable entities like these — and their portfolio companies and limited partners — to access the yield generated by Ethena's delta-neutral mechanism through a regulatory-compliant structure.

Full investor information is available at ethena.fi.

STRATEGIC NOTE (Bible Reference)
Part 10 (Proof Tier 1 — Institutional Investors): The key framing is 'their participation means their teams reviewed this professionally.' Lets the names carry the weight without hyperbole. F-Prime (Fidelity's VC arm) is underreported in most Ethena coverage — naming it precisely adds to the signal. Company page: no celebration language.

GUY YOUNG — PERSONAL PROFILE

POST Day 24 — Wed	CHANNEL Guy Young (Personal)	PILLAR Mechanism — Yield Architecture Comparison	HOOK TYPE Direct comparison — name what you're competing against and show the structural difference
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There are two ways a dollar-denominated yield instrument can generate return.

The first is by lending the underlying capital to borrowers and taking a spread between the lending rate and the cost of the deposit. This is how money market funds, lending protocols, and most structured products work. The yield is derived from credit extension.

The second is by holding a position in a market that pays you for holding that position — independent of lending. The yield is derived from market structure.

Ethena uses the second method.

Here is the practical difference:

Lending-based yield is constrained by credit demand and the risk of the borrowers. When demand for credit falls, the yield falls. When borrowers default, the lender takes losses. The yield is the spread — it is never higher than what the market will pay for capital.

Market-structure yield is constrained by derivatives positioning. When demand for leveraged long exposure is high, the funding rate is high. When that demand falls, the rate compresses. There is no credit default risk — the position is a derivatives contract, not a loan.

In practice, this means sUSDe APY is higher during periods of strong crypto market expansion — when leveraged positioning demand is highest — and lower during contractions, when that demand shrinks.

It is not fixed. It is not a spread. It is not a lending rate. It is a market structure signal made accessible in dollar form.

For a TradFi fixed income allocator asking 'what is this yield actually coming from': this is the answer. There is no equivalent structure in traditional finance at this scale.

Note: Historical APY data only. Not a guarantee of future returns. USDe and sUSDe are synthetic instruments subject to protocol risk, funding rate fluctuation, and smart contract risk. Read full risk documentation at ethena.fi before making any financial decisions.

STRATEGIC NOTE (Bible Reference)

Part 3 (Pillar 1 + Pillar 3): This post completes the yield-source argument for institutional fixed income allocators. The TradFi framing is deliberate — 'lending-based yield vs market-structure yield' is TradFi language that maps directly onto how fixed income allocators categorize instruments. Part 12: Pre-empt's Objection 4 (Ponzi concern) by demonstrating the yield source has a structural logic.

ETHENA LABS — COMPANY PAGE

POST	CHANNEL	PILLAR	HOOK TYPE
Day 25 — Thu	Ethena Labs (Company Page)	Newsletter Launch — Institutional Bridge	Direct invitation — launch the highest-value distribution channel with maximum clarity about what it offers

Introducing: The Funding Rate Report.

A LinkedIn newsletter published bi-weekly by Ethena Labs.

What it covers:

Each edition contains three sections. The first is a current funding rate snapshot — the state of BTC and ETH perpetuals funding across major venues, in context. The second is a mechanism deep-dive — one specific aspect of how Ethena's delta-neutral architecture works, written for institutional allocators who understand capital markets but may not have prior DeFi experience. The third is a protocol update — supply data, active integrations, and product developments.

Who it is for:

Institutional allocators, family offices, and asset managers evaluating synthetic dollar yield infrastructure. TradFi professionals at banks and hedge funds tracking DeFi yield as an alternative fixed income category. Protocol operators and treasury managers evaluating USDe as a treasury asset.

Why a newsletter:

Most DeFi protocols communicate in announcement format — milestones, launches, price updates. The Funding Rate Report is designed as an ongoing analytical brief: the kind of content an institutional investor would want to read before a due diligence call, not after.

Subscribe here [link to newsletter page].

The first edition — 'Where the Yield Actually Comes From' — publishes in two weeks.

STRATEGIC NOTE (Bible Reference)

Part 31 (LinkedIn Newsletter System): Newsletter launch post is the company page's highest-strategic-priority post of the month. The newsletter subject line 'The Funding Rate Report' was chosen because it signals expertise in the mechanism before the reader even subscribes. The first edition title directly mirrors Day 1's Post 1 — creating a narrative echo for the audience that has followed the full month.

GUY YOUNG — PERSONAL PROFILE

POST Day 26 — Fri	CHANNEL Guy Young (Personal)	PILLAR Market Commentary — Month Close	HOOK TYPE Human reflection — the one post per month where Guy writes as a person, not as a mechanism explainer
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I've been writing publicly about Ethena more consistently this month than I have in a while.

Here is what I have found.

The questions that institutional investors actually want answered are not the ones that make good announcement posts.

Nobody asks 'can you write a milestone post about your supply growth?' in a first meeting.

They ask: 'What breaks this? Where does the yield come from? What happened during the last bear market? Can our fund actually hold this?'

Those questions are the right ones. They are also the ones that most protocols spend the most energy avoiding in public communication.

I have spent the past month trying to answer them directly — in writing, before the meetings start.

What I have noticed: the questions that get the most engagement are the ones that start with risk. The negative funding rate post. The counterparty risk post. The leverage misconception post.

Investors do not want reassurance. They want accuracy. There is a difference.

I will keep writing. The next month will go deeper on the specifics that institutional allocators need to make a well-informed decision — the full yield history, the stress test scenarios, the iUSDe product mechanics in detail.

If there is a question you are sitting on that I have not addressed yet, reply here or find me in the DMs. I read them.

STRATEGIC NOTE (Bible Reference)

Part 24 (Founder Personal Brand): One human post per month — Guy as a person, not just as a mechanism explainer. Critical: this post invites DM outreach (Part 18 activation) without being promotional about it. The tone shift from clinical to personal is deliberate and earns trust through contrast. The observation about risk content performing best is also strategic — it reinforces why the Bible's objection pre-emption framework is the right posture.

QUICK REFERENCE INDEX

All 30 posts at a glance

Day	Channel	Pillar	Hook Type	One-Line Brief
1	Guy Young	Mechanism	Belief disruption	Where sUSDe yield actually comes from — the delta-neutral structure explained
2	Ethena Labs	Proof Signal	Quantitative lead	\$3.7B peak supply, 10-day \$1B record, zero exploits, audit history
3	Guy Young	Market Commentary	Observation-first	Current funding rate environment and what it means for sUSDe APY
4	Ethena Labs	Institutional Bridge	Problem-solution	iUSDe: built for institutional compliance frameworks — introducing the product
5	Guy Young	Objection Pre-Emption	Direct question	What happens when funding rates go negative — complete answer with insurance fund architecture
8	Guy Young	Founder Lens	Unexpected origin	Cerberus Capital to Ethena: the derivatives background that made the protocol possible
9	Ethena Labs	Proof Signal	Integration cascade	Aave, MorphoBlue, Pendle integrations — contextualizing each as a technical proof signal
10	Guy Young	Mechanism	Evolution framing	Why adding Bitcoin as V2 collateral was a structural expansion of the yield source ceiling
11	Ethena Labs	Institutional Bridge	Infrastructure framing	Bybit, OKX, Deribit as execution layer — off-exchange custody architecture explained
12	Guy Young	Objection Pre-Emption	Steel-man then dismantle	Is USDe a leveraged trade? No. Here is the precise mechanics of why not.
15	Guy Young	Proof Signal	Transparency-forward	Zellic and Code4rena audits — 14 months live with zero exploits is the more meaningful data
16	Ethena Labs	Risk Architecture	Mechanism-first transparency	Insurance fund: how it works, what it covers, what it doesn't, current balance public
17	Guy Young	Market Commentary	Historical comparison	Three funding rate environments — 2024 bull, 2024 compression, 2022 bear — what each meant
18	Ethena Labs	Mechanism	Progress framing	Cross-chain expansion: infrastructure-first sequencing and the architecture rationale
19	Guy Young	Objection Pre-Emption	Specific architecture	Counterparty risk: off-exchange custody, position distribution, what FTX proved matters
22	Guy Young	Institutional Bridge	Specific use case	iUSDe deep dive: what it is, what it isn't, exactly who it serves across four institutional profiles

Day	Channel	Pillar	Hook Type	One-Line Brief
23	Ethena Labs	Proof Signal	Credibility-by-association	Franklin Templeton, PayPal Ventures, F-Prime Capital — institutional round with full context
24	Guy Young	Mechanism	Direct comparison	Lending-based yield vs market-structure yield — the TradFi fixed income framing
25	Ethena Labs	Newsletter Launch	Direct invitation	Introducing The Funding Rate Report — bi-weekly analytical brief for institutional allocators
26	Guy Young	Market Commentary	Human reflection	Month-close: investors want accuracy, not reassurance. Risk content performs best.

ETHENA LABS — 30-DAY LINKEDIN POST LIBRARY

Web3 LinkedIn Growth Bible — 42-Part System | Parts Applied: 3, 5, 6, 7, 9, 10, 12, 14, 20, 23, 24, 31